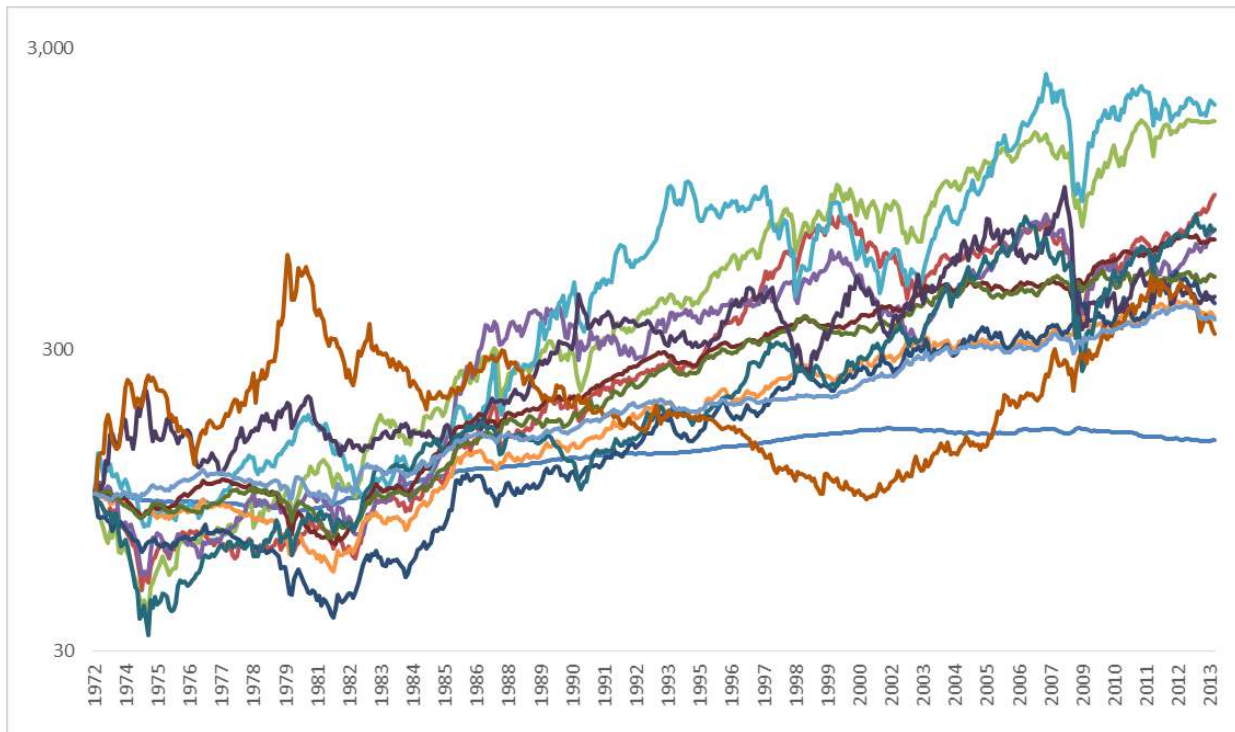


FIGURE 21 – Various Assets, Real Returns, 1973-2013



Source: Global Financial Data

We didn't label the asset classes in the chart on purpose simply to demonstrate that while the indexes traveled different routes from start to finish, all of the asset classes finished with positive real returns over the time period. The fact that bonds were even close in absolute performance to the other equity-like asset classes reflects the greater than thirty-year bull market that took yields from double-digit levels to near 2% today. The below charts demonstrate the returns and risk characteristics of the various asset classes.

FIGURE 22 - Asset Class Nominal Returns, 1973-2013

Nominal Returns 1973-2013	US Large	US Small	Foreign EAFE	Foreign EEM
Returns	10.21%	11.71%	9.49%	12.05%
Volatility	15.57%	18.90%	17.49%	22.05%
Sharpe	0.32	0.34	0.24	0.31
Max Drawdown	-50.95%	-51.93%	-56.40%	-61.44%